MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS)

FIFTH SEMESTER EXAMINATION-MODEL QUESTION PAPER

(2024 ADMISSION ONWARDS)

MG5DSCCOM301 – COST ACCOUNTING

Duration: 2 hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Very Short Questions

Answer any **12** questions

Each question carries **1** marks

1. _____ is the technique and process of ascertaining cost. [U] / [CO 1]

2. Expand CASB. [A] / [CO 1]

3. A responsibility centre where performance is measured is called ----------. [U] / [CO 1]

4. What is Bin Card? [U] / [CO 2]

5. Which cost accounting standard of ICAI governs the Material cost accounting? [An] / [CO 2]

6. Expand EOQ. [An] / [CO 2]

7.	_____ makes sure that all the employee relate expenses are correctly measured.	[U] / [CO 3]
8.	Give one example for indirect cost.	[An] / [CO 3]
9.	What are the methods for time keeping?	[U] / [CO 3]
10.	What is overtime premium?	[U] / [CO 3]
11.	Who is known as outworkers?	[U] / [CO 3]
12.	Name the sum total of indirect costs.	[U] / [CO 4]
13.	CAS 11 is dealt with the identification and grouping of _____ overhead.	[U] / [CO 4]
14.	A factory incurred ₹10,000 as factory overheads. The total labour hours worked were 2,000 hours. Calculate the Overhead Absorption Rate per labour hour.	[A] / [CO 4]

[1x12 = 12]

Part B

Short Answer Questions

Answer any **4** questions

Each question carries **7** marks

15.	Differentiate financial accounting and cost accounting.	[A] / [CO 1]
16.	Ramco limited manufactured 20,000 units of outputs. From the following informations provided by Ramco limited prepare a cost sheet.	[A] / [CO 1]

Direct Labour	Rs. 80,000
Direct Material	Rs. 1,75,000
Direct Expenses	Rs. 25,000
Office overhead	Rs. 70,000
Selling Overhead	Rs. 30,000
Factory Overhead	Rs. 50,000
Sales	Rs. 4,50,000

17. Calculate Minimum Level and Maximum Level from the following information [A] / [CO 2]

Minimum Usage	30 units
Normal Usage	60 units
Maximum Usage	90 units
Economic order quantity	1000 Units
Re order period	20 to 30

18. The standard output is 100 units per day. The basic piece rate is ₹5 per unit. [A] / [CO 3]

Calculate the wages of workers producing:

a) 75 units
b) 85 units
c) 100 units
d) 120 units

under Merrick's Multiple Piece Rate System.

19. A machine was purchased for ₹5,00,000. Its estimated scrap value is ₹50,000 and its useful life is 10 years. The machine is expected to work 2,000 hours per year. [A] / [CO 4]

The annual expenses are:

Repairs and maintenance: ₹30,000

Insurance: ₹10,000

Electricity: ₹40,000

Lubricants: ₹10,000

Operator's wages: ₹60,000

Calculate the Machine Hour Rate.

20. Explain Labour turn over. What are the reasons for the labour turn over? [A] / [CO 3]

[7x4 = 28]

Part C

Essay Questions

Answer any **2** questions

Each question carries **15** marks

21. A manufacturing concern follows the weighted average method for pricing its material issues. The following transactions occurred during July: [A] / [CO 2]

- July 1: Opening stock 2,000 units @ ₹16

- July 5: Purchased 1,000 units @ ₹18
- July 10: Issued 1,500 units
- July 15: Purchased 2,000 units @ ₹20
- July 20: Issued 1,200 units
- July 25: Purchased 1,500 units @ ₹22
- July 30: Issued 1,000 units

You are required to prepare the Stores Ledger Account and determine the closing stock.

22. The standard time for a particular job is 30 hours. The hourly wage rate is ₹100. [A] / [CO 3]

Three workers complete the job in:

- Worker A – 27 hours
- Worker B – 24 hours
- Worker C – 20 hours

Calculate the earnings of each worker under:

1. Halsey Bonus Plan
2. Halsey-Weir Bonus Plan
3. Rowan Bonus Plan

Which worker receives the highest bonus under each plan?

23. A factory has two production departments A and B and two service departments X and Y. [A] / [CO 4]

The overheads after primary distribution are:

Department	Amount (₹)
A	80,000
B	70,000
X	30,000
Y	20,000

The services rendered are:

Service Department	A	B	X	Y
X	40%	30%	—	30%
Y	50%	30%	20%	—

Calculate the final overheads of Production Departments A and B using the Repeated Distribution Method.

[15x2 = 30]